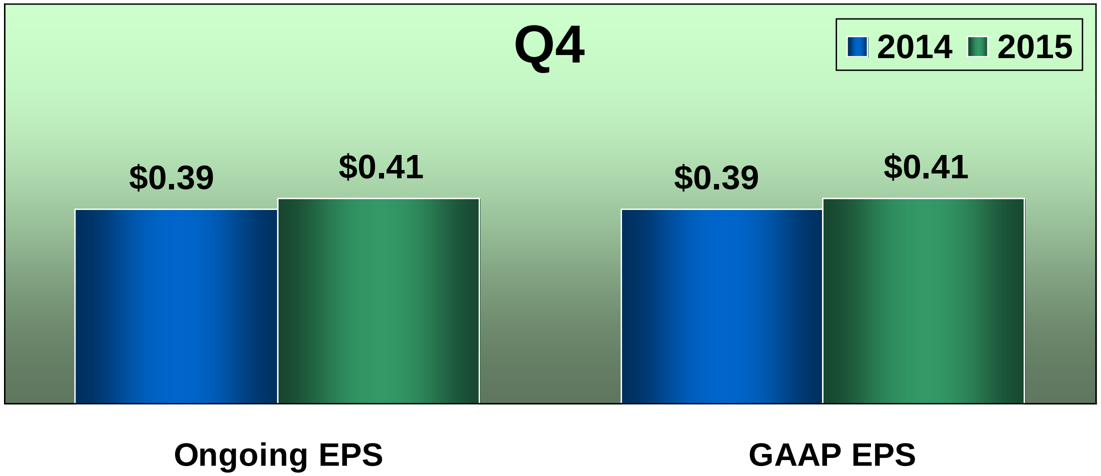
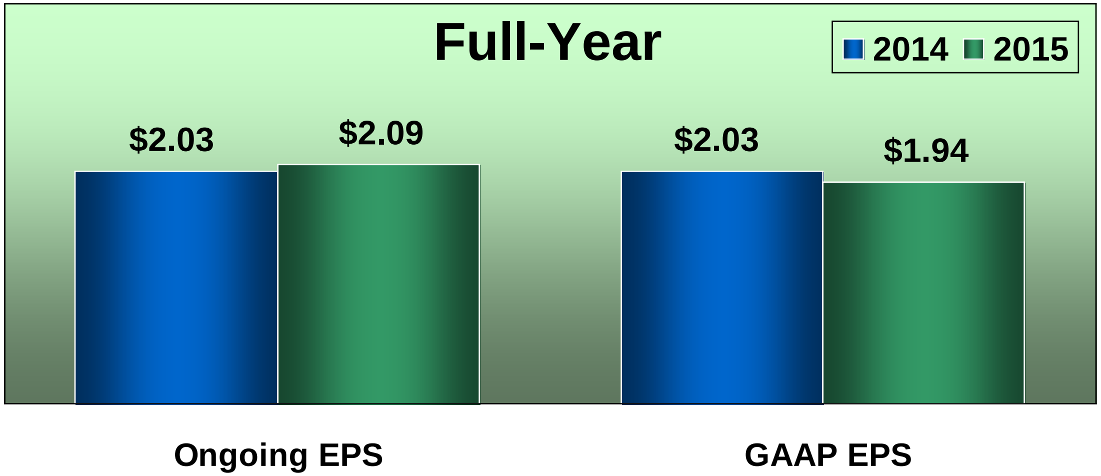
Year End 2015
Earnings Release Presentation

January 28, 2016

EPS Results





2015 ongoing earnings exclude a charge of $0.16 per share related to the Monticello extended power uprate (EPU) project

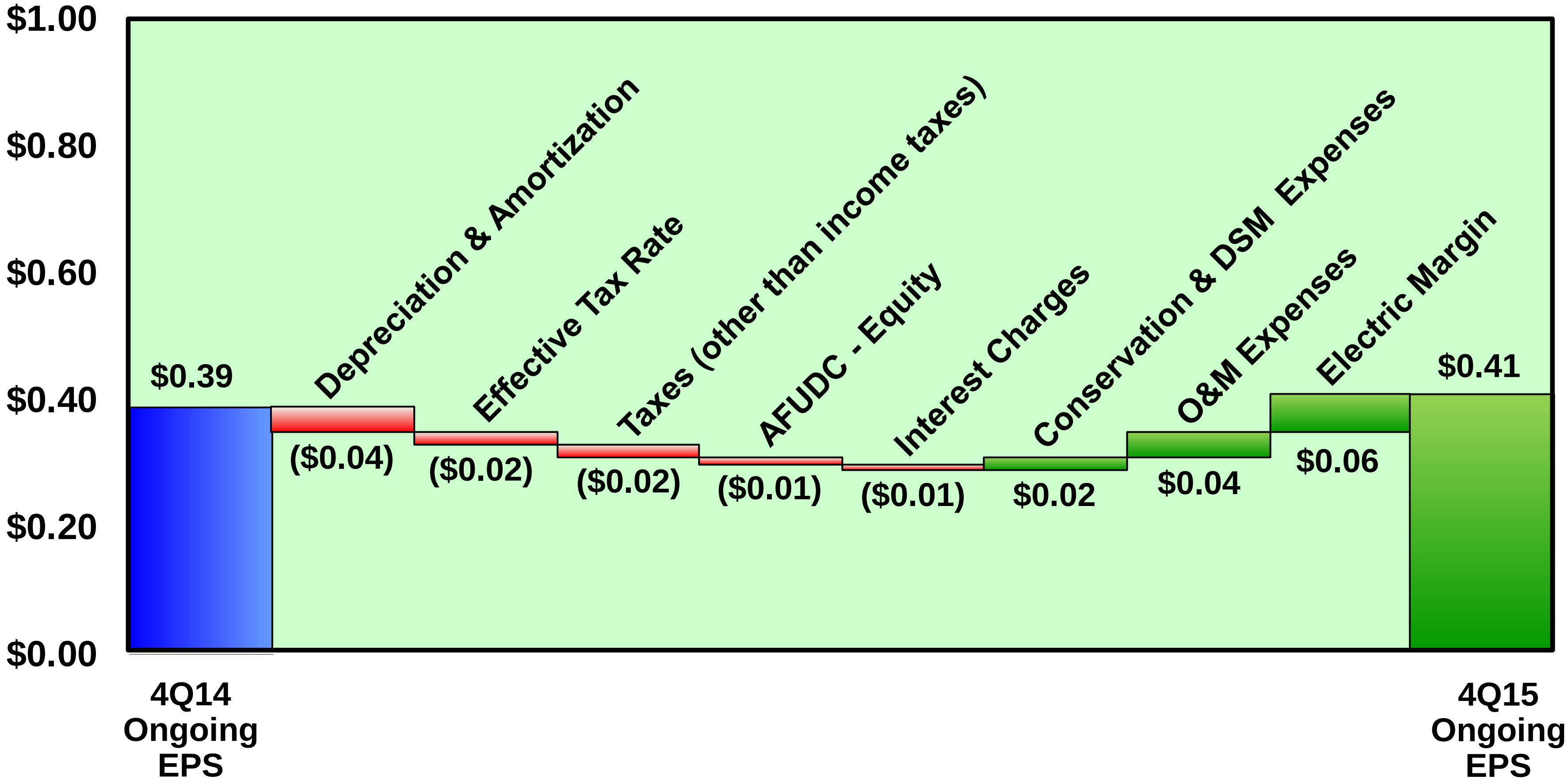
2015 Highlights

- Increased dividend 6.7%
- Increased annual dividend growth objective to 5% – 7%
- Resolved major regulatory proceedings in MN, CO, WI, SD and TX
- Favorable legislation passed in MN and TX
- Acquired the development rights for the Courtenay 200 MW wind project
- Initiated cost management actions, resulting in a decline in O&M expenses
- Eliminated all equity from five-year forecast
- Filed Minnesota resource plan, which reduces carbon by 60% by 2030
- Named #1 utility wind provider by AWEA for 11^{th} consecutive year
- Achieved record levels of safety
- Awarded EEI’s Emergency Recovery Award

Xcel Energy Strategic Plan

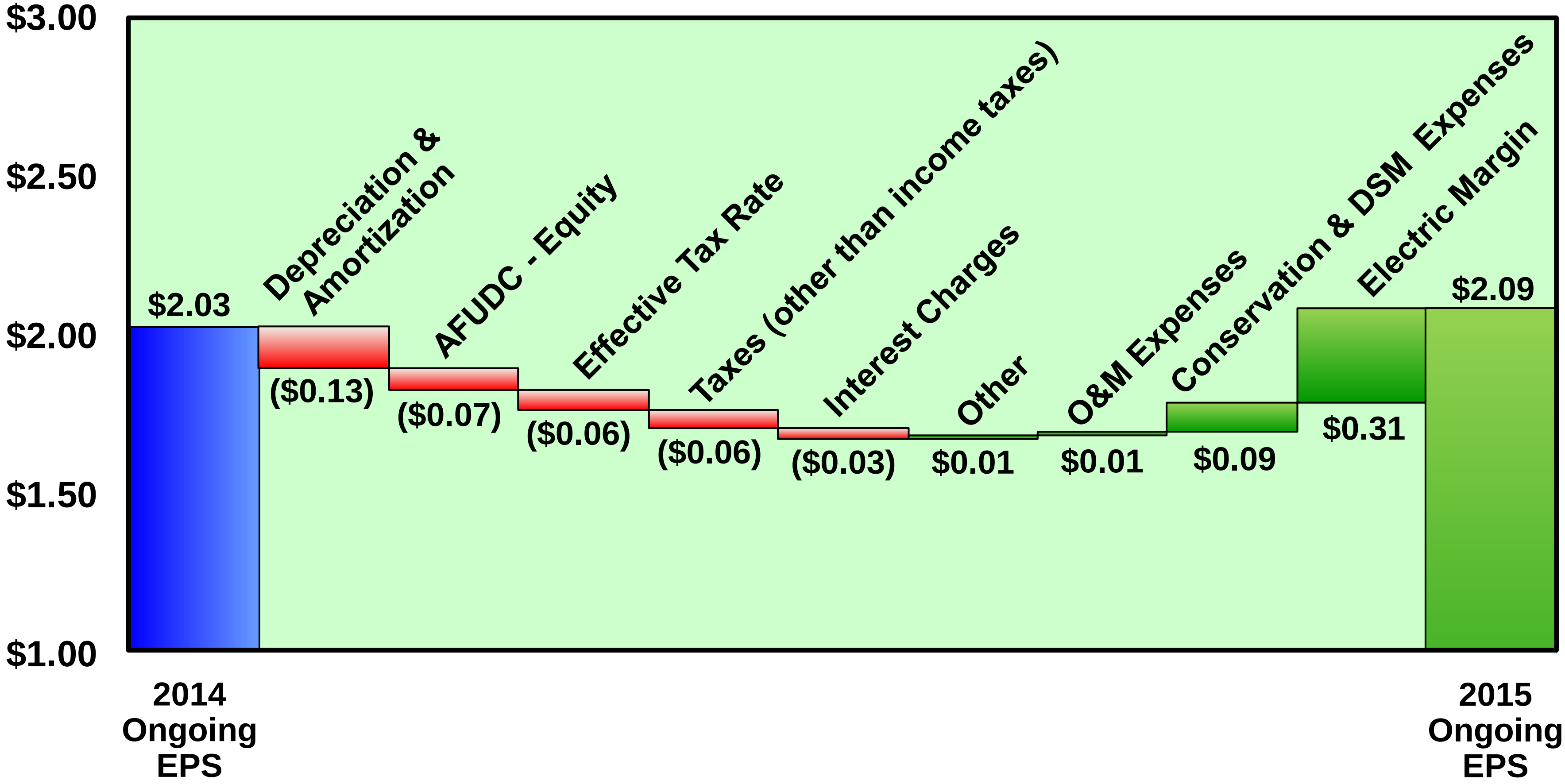
Objectives	Measurable Results
Improve Utility Performance	• Close ROE gap 50 bps by 2018 • Derive 75% of revenue from MYPs
Drive Operational Excellence	• Manage workforce transition through technology and standardization • Limit annual O&M growth to 0% – 2% • Maintain best-in-class reliability
Improve Customer Experience	• Offer more energy options • Exceed customer expectations
Invest for the Future	• Base cap ex – rate base CAGR = 3.7% • Upside cap ex – rate base CAGR = 5.5%

Quarterly Ongoing EPS Change



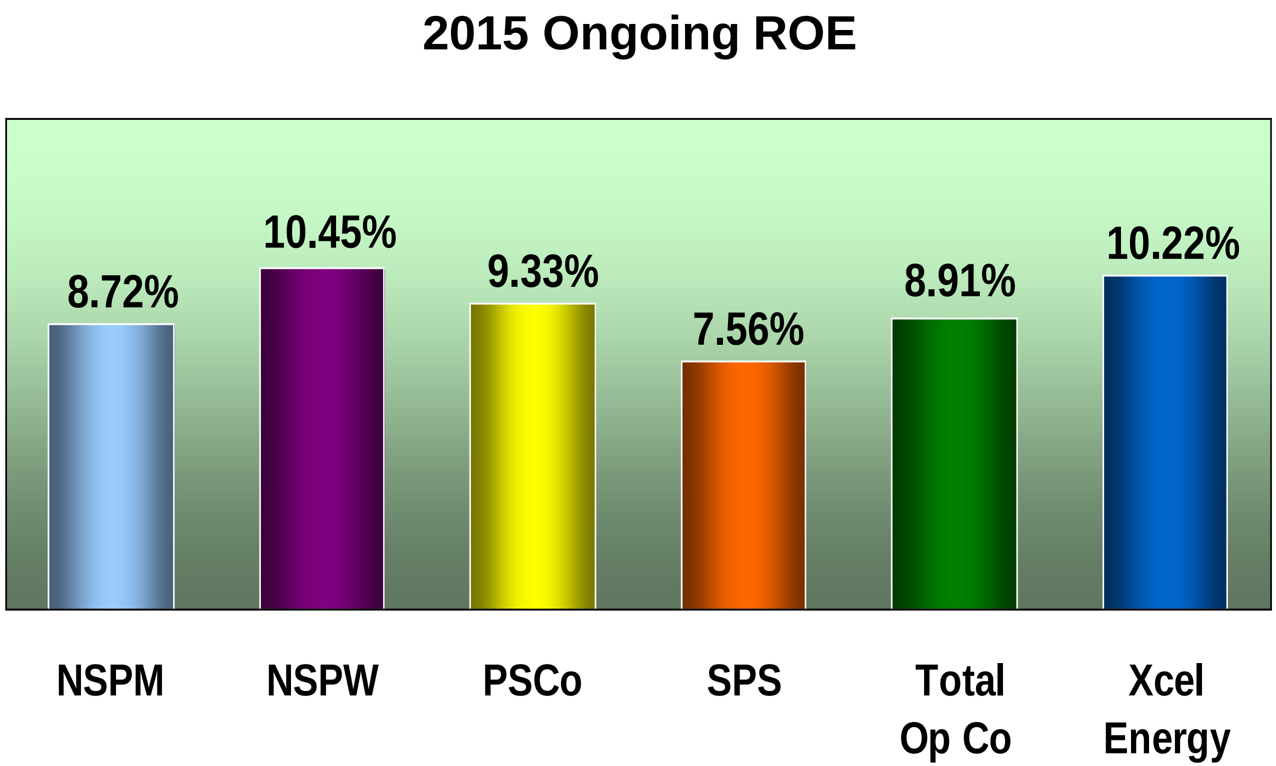
The $0.03 adverse impact of weather is incorporated in the electric and natural gas margins

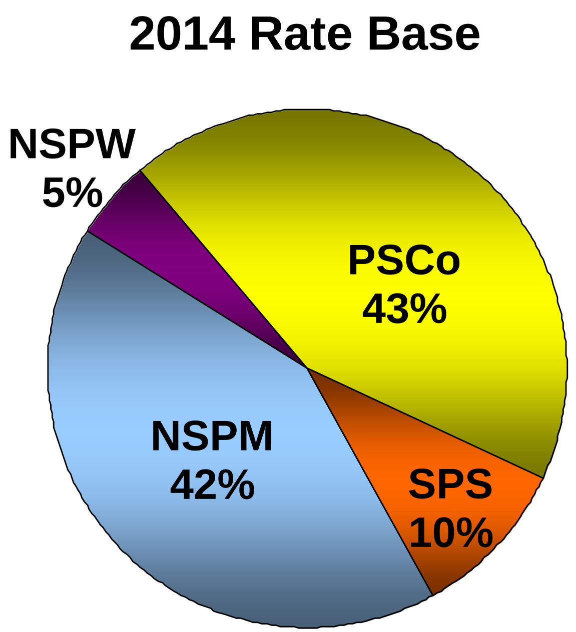
Annual Ongoing EPS Change



- *Amounts in the chart may not add due to rounding*
- *The $0.07 adverse impact of weather is incorporated in the electric and natural gas margins*

ROE Results – Ongoing Earnings





- ***Ongoing earnings exclude a $129 million pre-tax charge for the Monticello EPU project***
- ***GAAP ROEs: NSPM = 7.23%; NSPW = 10.03%; Total Op Co = 8.29%; Xcel Energy = 9.46%***
- ***The Op Co ongoing ROE would have been 9.07% and Xcel Energy's ongoing ROE would have been 10.40% in 2015, excluding the negative impact of weather***

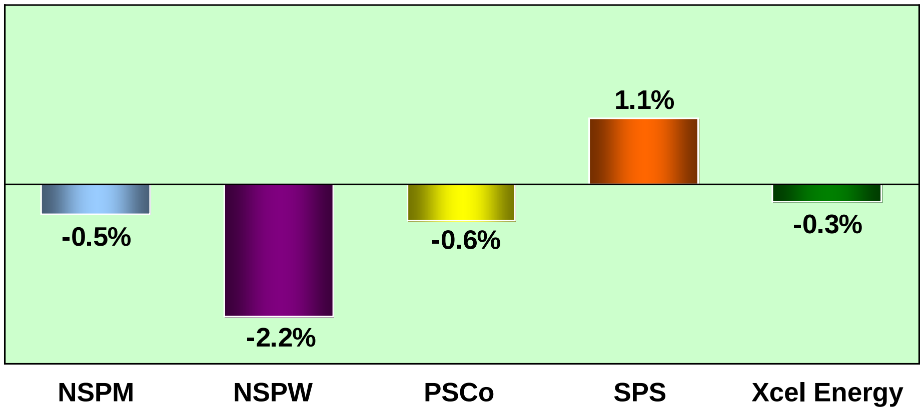
EPS Results by Operating Company

	Fourth Quarter		Full-Year	
	2015	2014	2015	2014
PSCo	$ 0.16	$ 0.18	$ 0.92	$ 0.90
NSP-Minnesota	0.20	0.17	0.85	0.80
SPS	0.04	0.03	0.25	0.26
NSP-Wisconsin	0.03	0.03	0.15	0.14
Equity earnings	0.01	0.01	0.04	0.04
Regulated utility	0.44	0.42	2.21	2.14
Holding company and other	(0.03)	(0.03)	(0.11)	(0.11)
Total Ongoing diluted EPS	**$ 0.41**	**$ 0.39**	**$ 2.09**	**$ 2.03**
Loss on Monticello LCM/EPU Project	-	-	(0.16)	-
Total GAAP diluted EPS	**$ 0.41**	**$ 0.39**	**$ 1.94**	**$ 2.03**

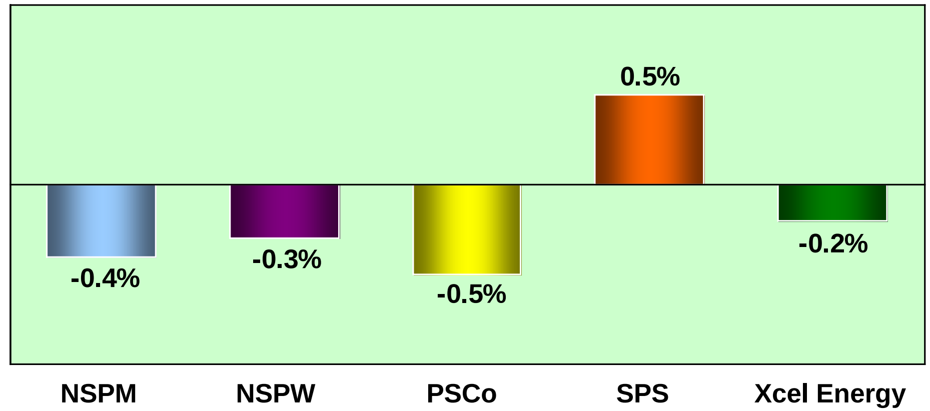
Amounts in the table may not add due to rounding

Economic, Sales & Customer Data

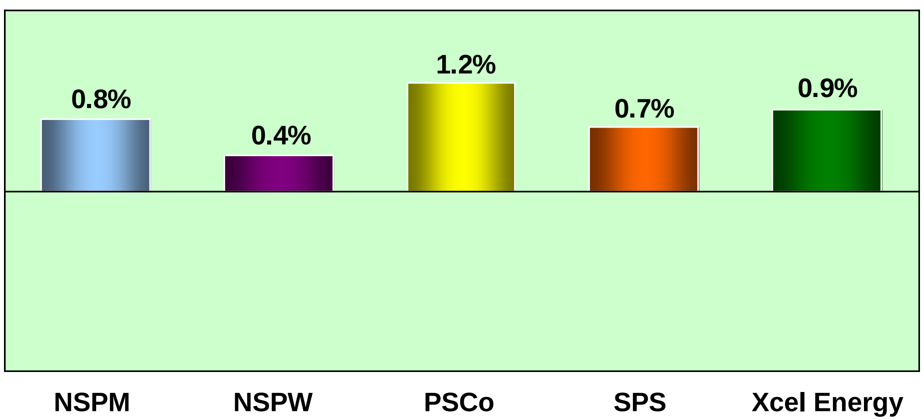
2015 Q4 W/A Electric Sales Growth



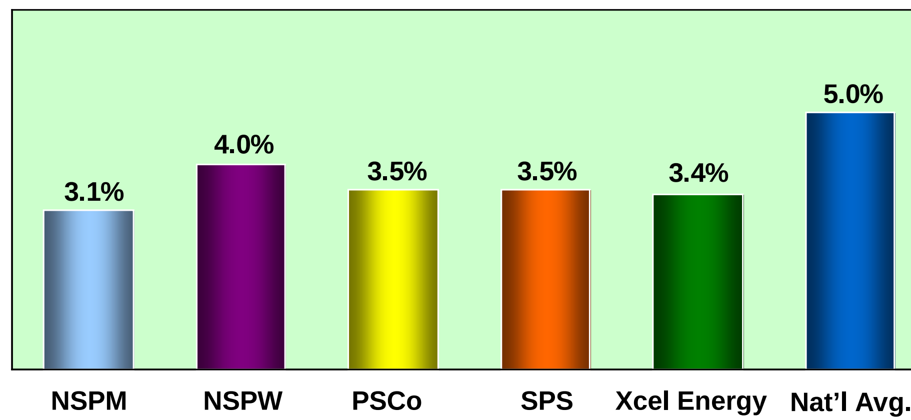
2015 W/A Electric Sales Growth



2015 YoY Electric Customer Growth



December Unemployment



Extender Bill Impact

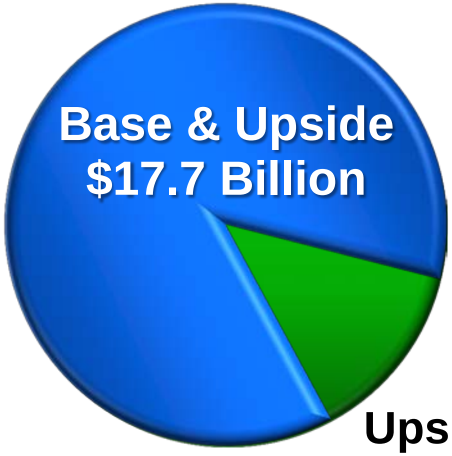
- No material impact on EPS for 2016-2018
  - Multi-year plans
  - Existing NOL tax position
- Supports 4% – 6% ongoing EPS growth objective
- Reduces revenue requirements and impact on customer bill
  - Reduces regulatory risk
  - Increases ability to close ROE gap beyond 50 basis points
  - Creates more opportunity for capital investment
- PTC/ITC extension makes renewables more affordable

Upside Capital Investment

2016-2020

Drives →

≈ 3.7%
Rate Base CAGR
2015-2020



Drives →

≈ 5.5%
Rate Base CAGR
2015-2020

Rate base forecast <u>includes</u> the five-year extension of bonus depreciation

Potential Impact

Capital		ROE Improvement		Five-year EPS CAGR
Upside Plan	+	Earn Authorized ROE	=	>6%
Upside Plan	+	50 bps Improvement	=	5.5% – 6%
Base Plan	+	50 bps Improvement	=	4% – 5%

2016 Ongoing Earnings Guidance

Ongoing EPS Guidance Range: $2.12 – $2.27

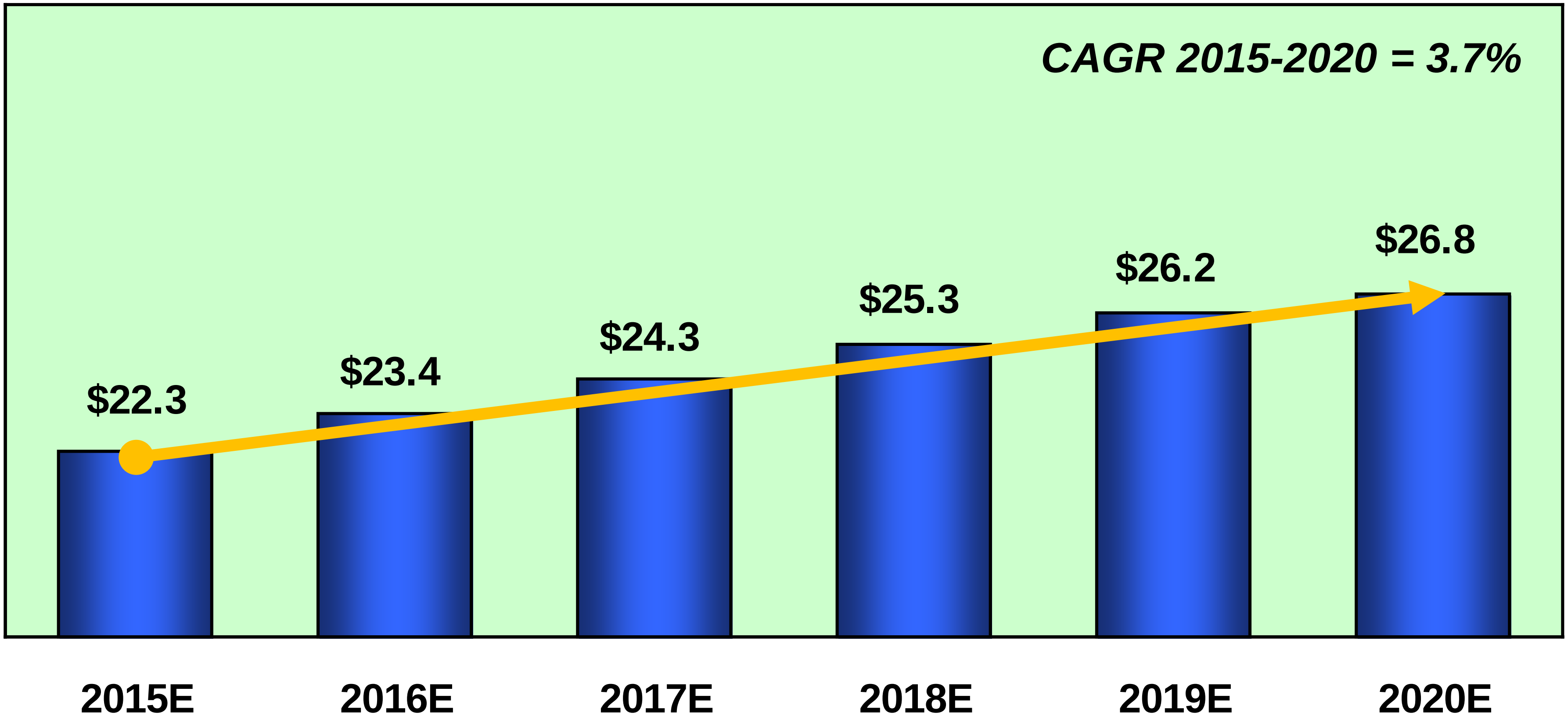
	Key Assumption Changes	
Earnings Driver	***Previous***	**Current**
AFUDC – Equity	***Decrease $5 – $10 million***	**Decrease $10 – $15 million**

	Sensitivities	
Earnings Driver	**Sensitivity**	**EPS**
Retail Electric Sales	**100 bps**	**+/- $0.05**
O&M Expense	**100 bps**	**+/- $0.03**
Assumes a 35% ETR and 509 million shares outstanding		

Appendix

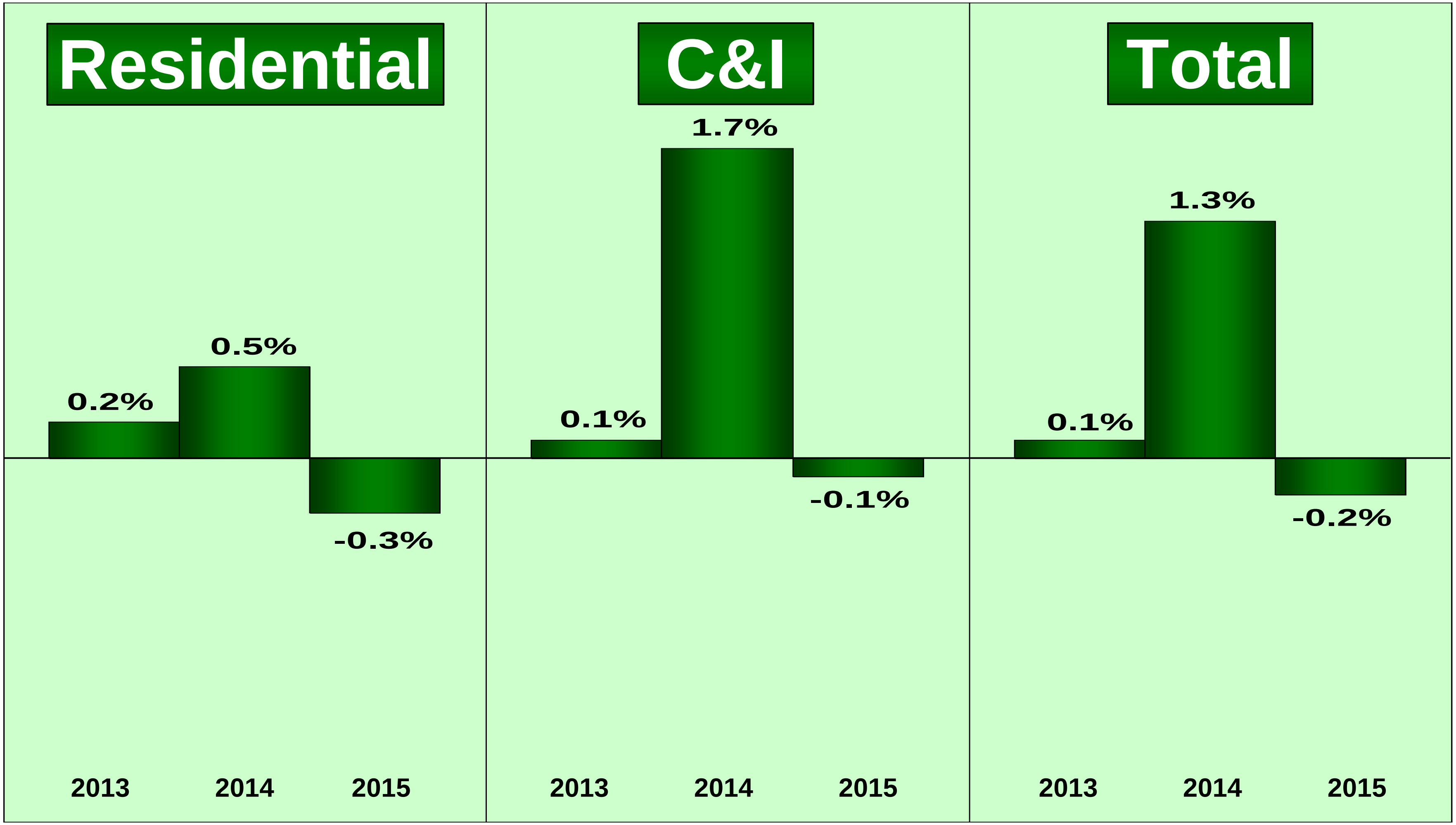
Base Plan – Projected Rate Base Growth

Dollars in billions

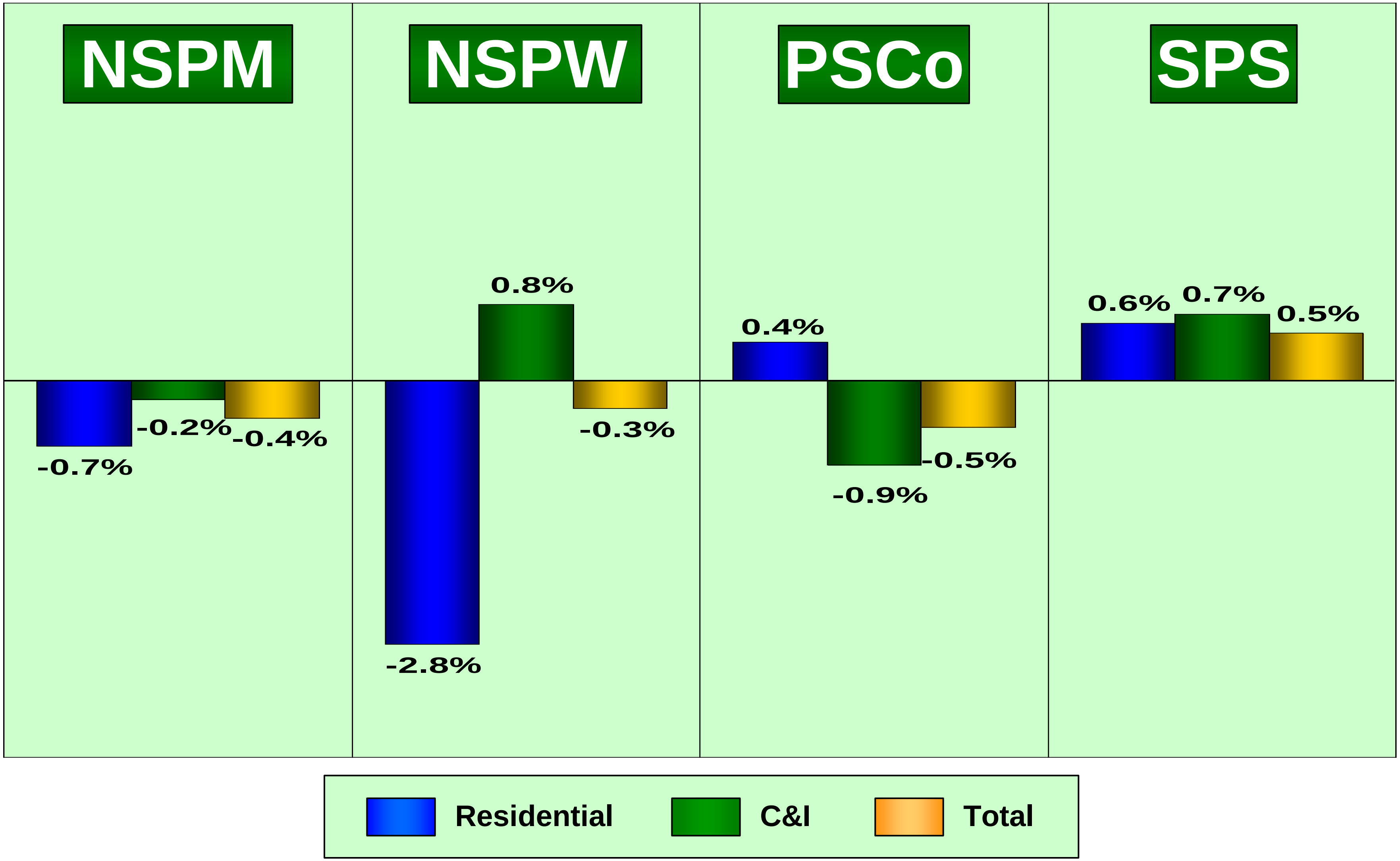


- ***Rate base forecast <u>includes</u> the five-year extension of bonus depreciation***
- ***Rate base forecast does <u>not</u> include potential capital upside of $2.5 billion***

Xcel Energy W/A Electric Sales Growth



2015 W/A Electric Sales Growth



Operating Company ROE Sensitivities

Op Co	Jurisdiction	2014 Rate Base ($ millions)	Sensitivity to 100 bps change in ROE: Revenue Requirement ($ millions)	Sensitivity to 100 bps change in ROE: EPS
NSPM	MN Electric	$7,047	$57	+/- $0.073
	MN Gas	$453	$4	+/- $0.005
	ND Electric	$454	$4	+/- $0.005
	ND Gas	$48	$0	+/- $0.000
	SD Electric	$474	$4	+/- $0.005
PSCo	CO Electric	$6,277	$55	+/- $0.070
	CO Gas	$1,661	$14	+/- $0.018
SPS	TX Electric	$1,507	$13	+/- $0.016
	NM Electric	$587	$5	+/- $0.006
NSPW	WI Electric	$906	$7	+/- $0.009
	WI Gas	$98	$1	+/- $0.001

- ***Assumes authorized equity ratio, a 35% ETR, and 509 million shares outstanding***
- ***Rate base figures obtained from our jurisdictional regulatory filings***

Financing Plan for 2016

Issuer	Security	Amount
Hold Co	Senior Unsecured	$700 million
NSPM	First Mortgage Bonds	$250 million
SPS	First Mortgage Bonds	$350 million

Financing plans are subject to change, depending on capital expenditures, internal cash generation, rating agency views, market conditions, and other factors

Minnesota Multi-Year Electric Rate Case

Request	2016	2017	2018
Rate Request	$194.6 million	$52.1 million	$50.4 million
Increase Percentage	6.4%	1.7%	1.7%
Interim Request	$163.7 million	$44.9 million	N/A
Rate Base	$7.8 billion	$7.7 billion	$7.7 billion

- Request based on ROE of 10.0% and equity ratio of 52.50%
- Includes option of a five-year multi-year plan
- Includes offer of mediation
- In Dec. 2015, the MPUC approved interim rates of $163.7 million effective Jan. 2016 and deferred a decision on 2017 interim rates
- Final decision expected June 2017, unless a settlement is reached

Docket # E002/GR-15-826

Colorado Multi-Year Natural Gas Rate Case

Revised Request	2015	2016	2017
Rate Increase	$40.5 million	$14.6 million	$16.8 million
PSIA Increase	($0.1) million	$14.7 million	$21.7 million
Rate Base	$1.26 billion	$1.31 billion	$1.36 billion
ALJ Proposal	2015	2016	2017
Rate Increase	$18.1 million	$20.0 million	-
PSIA Increase	($0.2) million	($7.0) million	$17.6 million
Expense Deferral	$0.2 million	$4.8 million	$9.6 million

- PSCo request based on ROE of 10.1% and equity ratio of 56%
- Requests an extension of the PSIA rider through 2020
- Interim rates effective October 1, 2015
- ALJ proposed decision:
  - ROE of 9.5% and equity ratio of 56.5%
  - Rejected MYP and recommended HTY with an average rate base
  - Recommended three-year extension of PSIA
- In January 2016, the CPUC approved a decision, generally consistent with the ALJ

Docket # 15AL-0135G

New Mexico Electric Rate Case

- SPS filed a New Mexico electric rate case for 2016
  - Requested a rate increase of $45.4 million
  - Requested ROE of 10.25% and equity ratio of 53.97%
  - Rate base of $734 million
  - June 2015 historic test year adjusted for known and measurable changes
- New Mexico Commission decision and implementation of final rates anticipated in the second half of 2016

Docket # 15-00296-UT

Upcoming 2016 First Quarter Events

- **Barclays Power & Utility Credit Conference: Mar. 1**
- **UBS Utilities & Natural Gas Conference: Mar. 2**
- **Morgan Stanley Utilities & Clean Tech Conference: Mar. 3**